Retail Equity Research

Triveni Turbine Ltd.

Capital Goods

Accumulate

12 Months Investment Period | Rating as per Small Cap

BSE CODE : 533655 | NSE CODE: TRITURBINE
BLOOMBERG CODE: TRIV:IN | SENSEX : 72,623

CMP Rs. 454 | TARGET Rs. 520 | RETURN 15%
(Closing: 21-02-24)

KEY CHANGES: *TARGET* ↑ *RATING* ↔ *EARNINGS* ↑

Rising export mix aid growth momentum...

Triveni Turbine Ltd (TTL) is the domestic market leader in steam turbines up to 30 MW. The company designs and manufactures steam turbines up to 100 MW, and delivers robust, reliable, and efficient end-to-end solutions.

- **Superior execution in the Product segment (44% YoY) and higher sales from the export market led TTL to report strong topline growth of 33% in Q3FY24 and 36% YoY in 9MFY24.**
- **Gross margin improved by 220bps YoY to 50.8%, due to favourable product mix & higher exports. While higher staff costs and other expenses restrict EBITDA margin at 19.4%.**
- **The order book for Q3FY24 increased by 29% YoY, supported by 27% YoY growth in new orders in 9MFY24. Robust growth in order booking with an improvement in export contribution (60% mix) provides visibility for both revenue and profitability for FY25.**
- **TTL is looking to expand its market to the US with a focus on aftermarket services, renewable energy, and oil & gas sector which will further aid the export contribution.**
- **However, expensive valuations remain a near-term concern. We therefore reiterate Accumulate rating and value the stock at a P/E of 40x on FY26E EPS with a TP of Rs. 520.**

Execution in full swing...

TTL's revenue growth has continued to remain above 30% for the last nine quarters, driven by its strong order book and execution across domestic and export businesses. In Q3FY24, top-line grew by 32.5% YoY to Rs432cr, aided by export revenue growth of 35.2% YoY to Rs 190cr and domestic revenue growth of 30.5% YoY to Rs 242cr. Revenue from the product business grew by 44% YoY to Rs 287cr, while aftermarket revenue grew by 15% YoY to Rs 145cr during the quarter. The company said that the steam turbine aftermarket opportunity is immense, as the turbine will last for 20 to 40 years. Gross margin in 9MFY24 improved by 413bps YoY to 50.5%, aided by a favourable product mix. While the EBITDA margin was flat at 19.1%, it was impacted by a substantial increase in subcontracting expenses pertaining to foreign subsidiaries. The company expects increased employee costs in the near term given the recruitment of local headcounts in the US and other international markets. With the given prospects in the international market, we expect execution to pick up pace in the coming years.

Robust growth in order booking...

In Q3FY24, the order book grew by 28% YoY to Rs. 1,575cr (which is 1x TTM revenue), aided by 27% YoY growth in order inflow in 9MFY24. The company did extremely well in securing export orders in Q3FY24, with a growth of 67% YoY to Rs. 317cr, while domestic order inflow witnessed weakness, which de-grew by 7%YoY to Rs. 215cr. TTL incorporated a subsidiary, Triveni Turbine Americas Inc., in Texas, to undertake the supply of industrial steam turbines, spares, repair, and refurbishment, which gives a thrust to its international opportunity.

Valuations

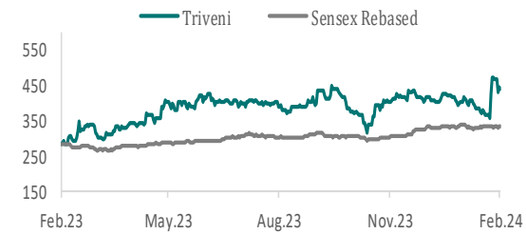
The increasing share of the export order book would aid profitability in the coming quarters. We expect the product business to continue to witness healthy traction, while an increasing share of the aftermarket mix will drive revenue growth. However, expensive valuations remain a deterrent to near-term performance. Therefore, we reiterate Accumulate rating and value the stock at a P/E of 40x on FY26E EPS with a TP of Rs 520.

Company Data	
Market Cap (cr)	₹ 14,971
Enterprise Value (cr)	₹ 14,903
Outstanding Shares (cr)	32
Free Float	35%
Dividend Yield	0.31%
52 week high	₹ 498
52 week low	₹ 290
6m average volume (lac)	1.35
Beta	1.12
Face value	₹ 1

Shareholding (%)	Q1FY24	Q2FY24	Q3FY24
Promoters	55.8	55.8	55.8
FII's	26.8	27.7	27.3
MFs/Insti	12.6	11.7	12.5
Public	4.8	4.8	4.4
Total	100.0	100.0	100.0
Promoter Pledge (%)	Nil	Nil	Nil

Price Performance	3 Month	6 Month	1 Year
Absolute Return	8%	15%	55%
Absolute Sensex	9%	10%	18%
Relative Return*	-1%	5%	37%

*over or under performance to benchmark index



Consolidated (cr)	FY24E	FY25E	FY26E
Sales	1,701	2,113	2,583
Growth (%)	*36.3*	*24.2*	*22.2*
EBITDA	328.2	433.1	516.5
EBITDA Margin(%)	*19.30*	*20.50*	*20.00*
PAT Adj.	287.1	368.6	429.0
Growth (%)	*48.9*	*28.4*	*16.4*
Adj.EPS	8.7	11.2	13.0
Growth (%)	*48.9*	*28.4*	*16.4*
P/E	52.1	40.6	34.9
P/B	16.8	12.2	9.0
EV/EBITDA	44.8	33.7	27.9
ROE (%)	*38.3*	*35.4*	*30.2*
D/E	0.0	0.0	0.0

Antu Eapan Thomas

Research Analyst

Quarterly Financials (Consolidated)

Profit & Loss

Rs (cr)	Q3FY24	Q3FY23	(%) YoY Growth	Q2FY24	(%) QoQ Growth	9MFY24	9MFY23	(%) YoY Growth
Sales	**432**	**326**	32.5	**388**	11.3	**1,196**	**878**	36.2
EBITDA	**84**	**63**	32.7	**74**	12.6	**229**	**167**	36.8
EBITDA margins (%)	19.4	19.4	2bps	19.2	22bps	19.1	19.1	7bps
Depreciation	5	5	11.6	5	7.2	15	15	3.8
EBIT	**78**	**58**	34.4	**69**	13.0	**214**	**153**	40.0
Interest	1	0	742.9	1	0.0	2	0	291.8
Other Income	**17**	**12**	44.5	**15**	18.4	**45**	**30**	49.7
Exceptional Items	0.0	-	0.0	-	0.0	-0.2	-	0.0
PBT	**95**	**70**	35.4	**83**	14.2	**257**	**182**	40.8
Tax	26	17	51.4	19	39.0	63	45	40.4
Reported PAT	**68**	**53**	29.8	**64**	6.7	**193**	**137**	40.8
Adjustments	-	-	0.0	-	0.0	-	-	0.0
Adj PAT	**68**	**53**	29.8	**64**	6.7	**193**	**137**	40.8
No. of Shares	32	32		32		32	32	
EPS (Rs)	**2.1**	**1.6**	29.8	**2.0**	6.7	**6.0**	**4.2**	40.8

Change in Estimates

	Old estimates		New estimates			Change (%)	
Year / Rs cr	**FY24E**	**FY25E**	**FY24E**	**FY25E**	**FY26E**	**FY24E**	**FY25E**
Revenue	1,701	2,038	1,701	2,113	2,583	0.0	3.7
EBITDA	340	432	328	433	517	-3.5	0.3
Margins (%)	20.0	21.2	19.3	20.5	20.0	-69bps	-70bps
Adj. PAT	291	360	287	369	429	-1.3	2.4
EPS	8.8	10.9	8.7	11.2	13.0	-1.3	2.4

Consolidated Financials

PROFIT & LOSS

Y.E March (Rs. cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	**852**	**1,248**	**1,701**	**2,113**	**2,583**
% change	21.3	46.4	36.3	24.2	22.2
EBITDA	**163**	**234**	**328**	**433**	**517**
% change	10.2	43.7	40.4	31.9	19.3
Depreciation	20	20	20	21	23
EBIT	**142**	**214**	**308**	**412**	**494**
Interest	1	1	3	1	1
Other Income	29	43	65	70	75
PBT	**369**	**256**	**370**	**481**	**568**
% change	190.9	-30.8	45.0	29.8	18.1
Tax	95	63	83	118	139
Tax Rate (%)	25.6	24.5	22.5	24.5	24.5
Reported PAT	**270**	**193**	**287**	**369**	**429**
Adj*	198	0	0	0	0
Adj PAT	**72**	**193**	**287**	**369**	**429**
% change	-40.5	167.9	48.9	28.4	16.4
No. of shares (cr)	32	32	32	32	32
Adj EPS (Rs.)	**2.2**	**5.8**	**8.7**	**11.2**	**13.0**
% change	0	2	0	0	0
DPS (Rs.)	2.6	1.8	1.2	1.2	#DIV/0!

BALANCE SHEET

Y.E March (Rs. cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Cash	273	207	274	376	556
Accounts Receivable	101	98	154	232	318
Inventories	162	197	265	344	447
Other Cur. Assets	67	52	70	81	92
Investments	478	332	382	439	505
Gross Fixed Assets	345	365	415	465	515
Net Fixed Assets	238	253	258	287	314
CWIP	3	5	4	4	4
Intangible Assets	9	4	4	4	5
Def. Tax (Net)	-3	-4	-5	-5	-5
Other Assets	4	1	4	4	4
Total Assets	**1,331**	**1,144**	**1,410**	**1,766**	**2,241**
Current Liabilities	435	478	496	516	554
Provisions	25	28	29	35	42
Debt Funds	0	-	-	-	-
Other Liabilities	14	13	10	10	10
Equity Capital	32	32	32	32	32
Reserves & Surplus	824	593	842	1,173	1,602
Shareholder's Fund	857	625	875	1,206	1,635
Total Liabilities	**1,331**	**1,144**	**1,410**	**1,766**	**2,241**
BVPS (Rs.)	**26**	**20**	**27**	**37**	**51**

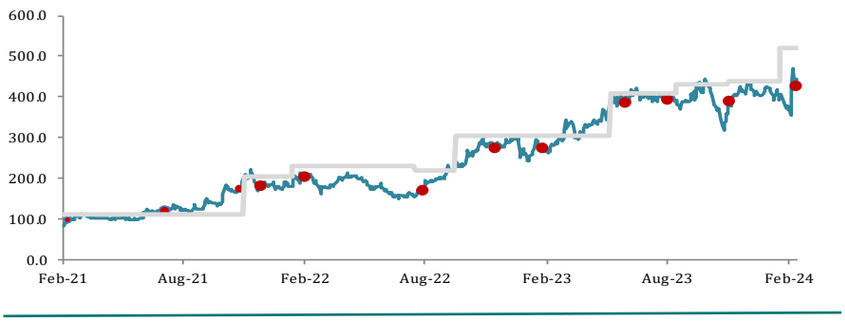
CASH FLOW

Y.E March (Rs. cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Net inc. + Depn.	**389**	**275**	**391**	**502**	**591**
Non-cash adj.	-85	-48	-58	-112	-133
Changes in W.C	113	30	-123	-142	-155
C.F. Operation	**418**	**257**	**210**	**249**	**302**
Capital exp.	16	-13	-49	-50	-50
Change in inv.	-181	145	-50	-57	-66
Other invest.CF	-10	-13	-22	-5	-5
C.F – Investment	**-175**	**119**	**-121**	**-112**	**-121**
Issue of equity	0	0	0	0	0
Issue/repay debt	9	-1	-3	0	0
Dividends paid	-83	-59	-38	-38	0
Other finance.CF	-55	-406	14	5	0
C.F – Finance	**-131**	**-464**	**-33**	**-34**	**-1**
Chg. in cash	111	-88	56	102	180
Closing cash	305	217	274	376	556

RATIOS

Y.E March	FY22A	FY23A	FY24E	FY25E	FY26E
Profitab. & Return					
EBITDA margin (%)	19.1	18.7	19.3	20.5	20.0
EBIT margin (%)	16.7	17.1	18.1	19.5	19.1
Net profit mgn.(%)	8.4	15.5	16.9	17.4	16.6
ROE (%)	9.6	26.0	38.3	35.4	30.2
ROCE (%)	7.1	20.0	29.7	26.7	22.7
W.C & Liquidity					
Receivables (days)	38.2	29.2	27.0	33.3	38.9
Inventory (days)	124.7	101.1	100.2	106.3	110.6
Payables (days)	255.8	226.9	189.8	171.0	139.9
Current ratio (x)	1.3	1.1	1.5	1.9	2.4
Quick ratio (x)	0.9	0.6	0.3	0.4	0.6
Turnover & Leverage					
Gross asset T.O (x)	2.4	3.5	4.4	4.8	5.3
Total asset T.O (x)	0.8	1.0	1.3	1.3	1.3
Int. coverage ratio (x)	139.2	216.0	123.2	412.0	617.5
Adj. debt/equity (x)	0.0	0.0	0.0	0.0	0.0
Valuation					
EV/Sales (x)	17.2	11.8	8.6	6.9	5.6
EV/EBITDA (x)	90.4	63.2	44.8	33.7	27.9
P/E (x)	207.9	77.6	52.1	40.6	34.9
P/BV (x)	17.3	23.2	16.8	12.2	9.0

Recommendation Summary (Last 3 years)



Dates	Rating	Target
12-Feb-21	Accumulate	112
07-Jul-21	Reduce	110
01-Dec-21	Accumulate	204
04-Feb-22	Accumulate	229
23-Aug-22	Accumulate	220
31-Jan-23	Accumulate	300
31-May-23	HOLD	410
16-Aug-23	Accumulate	430
07-Nov-23	Accumulate	437
22-Feb-24	Accumulate	520

Source: Bloomberg, Geojit Research.

Investment Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	**Upside is above 10%**	**Upside is above 15%**	**Upside is above 20%**
Accumulate	**-**	**Upside is between 10%-15%**	**Upside is between 10%-20%**
Hold	**Upside is between 0% - 10%**	**Upside is between 0%-10%**	**Upside is between 0%-10%**
Reduce/sell	**Downside is more than 0%**	**Downside is more than 0%**	**Downside is more than 0%**
Not rated/ Neutral			

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.
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Not rated/Neutral- The analyst has no investment opinion on the stock under review.

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ANTU EAPAN THOMAS
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